PURPOSE & OBJECTIVE

- Standard operating procedures for staff claim to ensure internal control in place is efficient and effective, to minimise error and detection of fraud in the staff claim forms and to ensure staff claim are properly recognised and recorded.
- The objective of this Standard Operating Procedure (SOP) is to provide guidance and clarification relating to employees claims.

SCOPE

- Staff Claim- Expenses, bills and correspondences, etc.
- Authorisation & approval of staff claims form
- Input: Approved Staff Claim Form, etc.
- Submission deadline for staff claims
- Payment for Staff Claims

APPLICABILITY

This SOP is applicable to all employees of Chin Hin Group Berhad.

ROLES AND RESPONSIBILITIES

- Staff responsible to ensure their claim are submitted on timely basis with proper documentation and supporting documents.
- Human resource department is responsible to record and keep track of staff medical claims and other entitlements as specified in their Letter of Offer and company guidelines to ensure no excessive, over claim or illegal claim of staff entitlement, to facilitate compilation of perquisites, gifts and benefits either taxable or none taxable to be included in the EA form at year end and to ensure staff claim are comply with human resource policy of the Company.
- Bills and expenses incurred more than 2 months old are not eligible for claim.
- Accounts Executive is responsible to prepare payment voucher for staff claim by checking to supporting documents and key in the transaction into the accounting system after approval for payment is obtained.
- Finance manager is responsible to verify and approve payment vouchers for staff claim together with supporting documents and ensure staff claim is properly taken up in the management account.
- Head of department is responsible to review and approve the staff claim form to ensure staff claim is proper, accurate and pay to authentic staff and properly supported with documents.
- Executive directors/Finance director/ Financial Controller act as final filter of error/mistake or detection of fraud of staff claim.

PROCEDURES

1.0 All staff can request a copy of staff claim form from the Human Resource Department if they need to submit their claim in the ordinary course of business.

2.0 The staff claim must be submitted to Account Department by 10th of every month for payment processing. Beyond 10th of the month, the claim will be processed in the subsequent month. Payments will only be released upon **ALL** relevant approvals are obtained (refer item 3.0 below).

3.0 Procedures for submitting claim

I. Claimed by - The staff claim form must be filled up by the claimant to be supported by authentic original tax invoice, bills, official receipts, etc as proof of claims.
II. All the claims supporting documents shall be pasted neatly on a piece of paper.
III. Verified by - The staff claim form is required to be verified by their immediate superior.
IV. Approved by - The staff claim is submitted to the head of department of the respective department for review & approval.
V. Final approval by - The staff claim will be approved by Group Managing Director/ Executive Directors or Finance Director.
VI. Please follow the Approval Matrix for Expenses Claim.
VII. If the staff claim contain medical expenses and other entitlement, the staff claim must be verified by Human Resources Department before submission to the Accounts and Finance Department. Please refer to Appendix 1 for the type of expenses to be reviewed by HR personnel.
VIII. For entertainment and meal claim, the claimant must list down the name of staff who is dining together and the relationship with the Company (for non-staff) plus purpose of claim.
IX. Claims with GST and more than RM500.00 in a single receipt, the claimant has to attach with original full tax invoices under Chin Hin Group Berhad's name and address (if applicable).
X. Claims with GST less than RM500.00 in a single receipt, the claimant has to attach with original full tax invoices or simplified tax invoices (if applicable).
XI. For travelling claim, the mileage is counted from office to destination or from house to destination whichever is the lower. The claimant is required to list down the starting point and ending point (exact destination address) with number of kilometres (km) multiplied by rate/km and purposes of the travel. For business trip via public transport, original receipt or tax invoice (refer to item ix and x) must be attached with the claim form.
XII. To determine the distance for claim, claimant can refer to either "Google Maps" or Standard kilometres commonly used. For verification purpose, Finance Department will opt for the lowest among the two distances.
XIII. For toll claim, the claimant must attach the receipt or else standard rate from plus highway will be used.

XIV. All staff claims must comply with the Human Resources and Group policies.

XV. All staff claim must comply with the approval matrix and standard operating procedures of staff claim. Failure to do so, the staff claim will be rejected.

4.0 The accounts executive will check the accuracy of the claims by peruse through the supporting documents and ensure procedures 3.0 above are met.

5.0 The accounts executive will prepare payment voucher and cheque accordingly if the claim is in order.

6.0 The Verifier, Approver or Processor has the right to reject the claim if the supporting documents are not clear or cannot tally to the claims submitted.

7.0 The Verifier, Approver or Processor has the right to reject the claim if the claim form is found with mistake, error and fraud.

Appendix 1 - Type of expenses to be reviewed by HR reviewer

1. Medical expense-outpatient
2. Phone purchase
3. Professional annual membership fee
4. Commission receive
5. Any monetary term not form part of reimbursement and benefit in kind provided by the Company

For more details, please refer to Human Resource Department.